17.02.2026

NBR Board decisions on monetary policy

In its meeting of 17 February 2026, the Board of the National Bank of Romania decided the following:

to keep the monetary policy rate at 6.50 percent per annum;
to leave unchanged the lending (Lombard) facility rate at 7.50 percent per annum and the deposit facility rate at 5.50 percent per annum;
to maintain the existing levels of minimum reserve requirement ratios on both leu- and foreign currency-denominated liabilities of credit institutions.

The annual inflation rate entered a mildly downward path at the beginning of 2025 Q4, falling to 9.69 percent in December from 9.88 percent in September, under the impact of the significant declines in the dynamics of fuel and VFE prices during this period.

The annual adjusted CORE2 inflation rate continued, however, to pick up during 2025 Q4, climbing to 8.5 percent in December from 8.1 percent in September, amid the persistent influences stemming from the dynamics of wage costs and the high level of short-term inflation expectations, alongside those coming from the indirect effects of electricity price hikes, as well as from the rises in some agri-food commodity prices and the EUR/RON exchange rate.

In 2025 as a whole, the annual inflation rate went up by 4.55 percentage points (from 5.14 percent in December 2024), mainly as a result of the transitory direct effects exerted by the expiry on 1 July of the energy price capping scheme and by the increases, starting 1 August, in VAT rates and excise duties.

The annual inflation rate calculated based on the Harmonised Index of Consumer Prices (HICP – inflation indicator for EU Member States) climbed to 8.6 percent in December 2025 from 5.5 percent in December 2024. The average annual CPI inflation rate rose to 7.3 percent in December 2025 from 5.6 percent in December 2024, while the average annual HICP inflation rate increased to 6.8 percent in December 2025 from 5.8 percent in December 2024.

In January 2026, the annual inflation rate fell marginally to 9.62 percent, given that the decreases in the dynamics of energy and fuel prices recorded this month were to a large extent counterbalanced, in terms of impact, by the swifter increases in administered prices and VFE prices, while the annual adjusted CORE2 inflation rate remained unchanged at 8.5 percent.

According to preliminary data, economic activity contracted by 1.9 percent in 2025 Q4, after shedding 0.1 percent in Q3 (quarterly changes), whereas its annual dynamics fell to 0.1 percent in 2025 Q4, after stepping up to 1.7 percent in the previous quarter. In 2025 overall, economic growth therefore slowed down to 0.6 percent from 0.9 percent in 2024.

In annual terms, developments were relatively mixed across the aggregate demand components and major sectors over the last three months of 2025, as suggested by high-frequency indicators. Specifically, in 2025 Q4, retail sales witnessed a stronger fall compared to the same year-earlier period and industrial output showed a minor contraction after recovering somewhat in the previous three months. The annual dynamics of the volume of construction works remained well in positive territory October through November 2025, but declined markedly versus Q3, whereas the annual change in the exports of goods and services widened its positive gap against that of imports October through December 2025, reporting a relatively more modest decrease from 2025 Q3. Against this background, the trade deficit saw an even stronger contraction in annual terms in 2025 Q4, while the current account deficit posted only a mild re-widening versus the same year-earlier period, the pronounced worsening of income balances notwithstanding. Thus, in 2025 overall, the trade deficit narrowed slightly, whereas the current account deficit posted a considerably slower advance.

The number of employees economy-wide saw a milder decline in October-December 2025 than in the prior months, yet contracted moderately versus the same year-earlier period, while the ILO unemployment rate inched down in 2025 Q4 overall, after rising to an average of 6.1 percent in Q3. The annual growth rate of nominal gross wage continued to decrease in October-December 2025, but at a much slower pace than in the first three quarters of the year, whereas that of the unit labour cost in industry posted a renewed pick-up in 2025 Q4 overall. However, January 2026 surveys indicate that employment intentions over the very short horizon weakened visibly, after a soft recovery in 2025 Q4, and that the labour shortage reported by companies posted a steeper contraction.

The main interbank money market rates continued to decrease in the first month of the current year, reverting to the April 2025 levels. Moreover, medium-and long-term yields on government securities steepened their downtrend, hitting 18-month lows, inter alia amid the improvement in investor risk perception vis-à-vis the local economy and financial market, following the favourable results of the budget execution for 2025. The EUR/RON exchange rate witnessed a marked decline in the early days of January 2026, but then returned gradually to the higher levels seen at end-December 2025. In relation to the US dollar, the leu weakened further in the first half of the month, yet strengthened relatively abruptly afterwards, given the former’s significant depreciation in the international financial markets.

The annual growth rate of credit to the private sector continued to decelerate in December 2025, reaching 6.2 percent from 6.8 percent in November, as the rate of change of the leu-denominated component posted a slightly faster decline, on the back of loans to non-financial corporations, while that of foreign currency credit rose much more slowly. The share of the domestic currency component in credit to the private sector thus narrowed to 68.2 percent in December 2025 from 68.7 percent in November.

In today’s meeting, the NBR Board examined and approved the February 2026 Inflation Report, which incorporates the latest available data and information.

According to the forecast included in the Report, the annual inflation rate will extend its slow downward course into 2026 Q1, before going up the following quarter, amid the influences stemming from base effects, as well as from developments in some commodity prices and the removal of the cap on the mark-up on basic food products, overlapping the direct effects exerted by the expiry of the electricity price capping scheme and by the increases in VAT rates and excise duties in 2025 Q3.

The annual inflation rate will see, however, an abrupt downward correction in 2026 Q3, once the direct effects from the two significant supply-side shocks fade away, and then it will decrease gradually, falling as of mid-2027 H1 inside the variation band of the target, amid the strengthening of underlying disinflationary pressures, especially from the aggregate demand deficit. The latter is expected to widen until the end of this year, against the background of the progress in budget correction, reaching considerable values, yet lower than previously envisaged.

Uncertainties are, nevertheless, still associated with the measures likely to be adopted in the future in order to continue budget consolidation beyond this year in line with the National Medium-Term Fiscal-Structural Plan agreed with the European Commission and with the excessive deficit procedure.

Significant uncertainties and risks to the outlook for economic activity, implicitly the medium-term inflation developments, arise from the external environment, given on one hand the geopolitical conflicts and the global trade tensions, and on the other hand the plans to increase defence and infrastructure investment spending in EU countries.

At this juncture, the absorption and use to the maximum of EU funds, especially those under the NRRP, are essential for partly counterbalancing the contractionary effects of budget consolidation and of geopolitical/trade conflicts, as well as for carrying out the necessary structural reforms, energy transition included.

The ECB’s and the Fed’s monetary policy decisions, as well as the stance of central banks in the region, are also relevant.

Based on the currently available data and assessments, as well as in light of the elevated uncertainty, the NBR Board decided in the meeting held today,
17 February 2026, to keep the monetary policy rate at 6.50 percent per annum. Moreover, it decided to leave unchanged the lending (Lombard) facility rate at 7.50 percent per annum and the deposit facility rate at 5.50 percent per annum. Furthermore, the NBR Board decided to maintain the existing levels of minimum reserve requirement ratios on both leu- and foreign currency-denominated liabilities of credit institutions.

The NBR Board decisions aim to ensure and maintain price stability over the medium term, in a manner conducive to achieving sustainable economic growth. The NBR Board reiterates that, at the current juncture, the balanced macroeconomic policy mix and the implementation of structural reforms, also by using EU funds to foster the growth potential over the long term, are of the essence for a stable macroeconomic framework and for strengthening the capacity of the Romanian economy to withstand adverse developments.

The NBR closely monitors developments in the domestic and international environment and stands ready to use the tools at its disposal in order to achieve the fundamental objective regarding medium-term price stability, while safeguarding financial stability.

The new quarterly Inflation Report will be presented to the public in a press conference on 18 February 2026 at 11:00 a.m. The account (minutes) of discussions underlying the adoption of the monetary policy decision during today’s meeting will be posted on the NBR’s website on 27 February 2026 at 3:00 p.m.

The next monetary policy meeting of the NBR Board will be held on 7 April 2026.

NBR → Media and Publications → Press Releases → NBR Board Decisions on Monetary Policy

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EUR

5.2317

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4.5842

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610.5409

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